

05 Lender Review Guidelines

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Prepared by Fictional lender policy function

SYNTHETIC DEMO. YETI Demo Outdoor Products LLC and Scenario Lender Y01 are invented. No affiliation, financing or guarantee by YETI Holdings, Inc. is asserted. All financial figures, terms and scenario events below are fictional.

Authority and evidence

These are fixed analyst guidelines, not extra contractual obligations. Document 02 controls the agreement; document 03 records approved assumptions. Use only evidence available at the selected review date. Preserve source IDs, measurement dates and exact page or section citations. Distinguish observations, industry evidence, forecasts and causal hypotheses. Do not import real public-company figures into the hypothetical loan.

Review levels

Measure	Analyst review	Contract distinction
Gross margin	Below 37%	C04 notice below 33%
Inventory	Above \$28m	C04 notice above \$31.2m
Monthly cash collections	More than 5% below the \$20m plan	Policy review only
Other operating costs	Above \$5.3m	Policy review only
Actual month-end cash	Below \$12m	C01 failure; assess C08 and C09 separately
13-week forecast cash	Below \$16m	C05 reporting and C06 restrictions
Quarter-end Net Leverage	Above 2.50 times	C02 actual LTM test

Assumption and risk assessment

Supported means current evidence remains consistent with the approved claim. Weakened means there is a challenge but its extent or persistence is unresolved. Contradicted means direct evidence materially conflicts with the claim. Insufficient evidence means a reliable conclusion is unavailable. Record credit direction separately: adverse, beneficial, mixed, neutral or unclear. An operating assumption can fail while financial covenants pass.

Causality and double counting

An industry article can motivate an exposure check; it does not prove borrower losses or contract failure. Trace earnings, working-capital movements and cash separately. Avoid counting one delayed receipt both as a permanent revenue loss and an additional permanent cash loss. Distinguish committed cost reductions, uncommitted plans, cash already received and future estimates.

Suggested responses

Keep routine evidence in history when no material change is supported. Ask for missing receipts, cohort data, inventory or contract evidence where necessary. Consider focused monitoring and revised forecasts before proposing new terms. A candidate credit agreement must identify a persistent protection gap, affected clause and required approval. Do not alter history or relax thresholds to hide a past failure.

Comparison and decision record

Use the same guidelines for an origination-only control and a candidate incorporating later reports. Changes already preferred using the original evidence are not caused by new information. Preserve counterevidence and explain any remaining uncertainty. Only signed-off fictional amendments under C10 become operative. A model cannot approve a waiver, cure or enforcement step.